prominent in the southern states, with the erstwhile combined state of Andhra Pradesh itself accounting for as much as 40 per cent of the country's microfinance activity.

In late 2010, Andhra Pradesh became the scene of a severe backlash against the microfinance sector, with a flood of allegations about the usurious interest rates charged by the MFIs, their coercive recovery practices and their unscrupulous business practice of luring borrowers with multiple loans, in the process pushing low-income households into the deep end of indebtedness. There were reports too of some microfinance borrowers having committed suicide to escape the debt trap. At around the same time, there were also exposés of the grotesquely huge profits of some of the larger MFIs which was seen, unsurprisingly, as exploitation of the poor.

The growing anger at the harassment by MFIs and resentment at their fat profits at the expense of the poor, galvanized into a widespread public agitation across Andhra Pradesh, prompting the state government to promulgate an ordinance in October 2010,[3] imposing stringent restraints on both the business models and the business practices of MFIs operating in the state. All MFIs were required to register with the state government on an annual basis. They were barred from visiting the houses of borrowers; instead, they were required to conduct their borrower meetings only in public places like the village panchayat office or the village school. The recovery cycle was lengthened from one week to one month. In an attempt to prevent household indebtedness, the law stipulated that the total interest on a microfinance loan could not exceed the principal. To restrain aggressive lending, MFIs were proscribed from lending to self-help groups (SHGs) that were already covered by the formal banking system, without the prior approval of the bank.

As a result of this clampdown, the microfinance activity in Andhra Pradesh came to a grinding halt. Not only was there no fresh lending, but even recovery of existing loans plummeted as word spread across villages that microfinance loans need not be repaid. Both MFIs and the banks that loaned funds to MFIs were agitated about this deepening default. And in the